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EQUITYLINE AGREEMENT

Principal	Loan Date	Maturity	Loan No	Call / Coll	Account	Officer	Initials
\$173,500.00	04-12-2007	04-12-2022	0868083613	55		33776	
References in the shaded area are for our use only and do not limit the applicability of this document to any particular loan or item. Any item above containing "****" has been omitted due to text length limitations.							

Borrower: Rickard Edward Faith
Melissa R Clepper Faith
762 Martin Luther King Jr Blvd
Chapel Hill, NC 27514

Lender: First-Citizens Bank & Trust Company
Raleigh Brier Creek Office
c/o Loan Servicing Department - DAC20
P.O. Box 26592
Raleigh, NC 27611-2659

CREDIT LIMIT: \$173,500.00DATE OF AGREEMENT: April 12, 2007

Introduction. This EquityLine Agreement ("Agreement") governs your line of credit (the "Credit Line" or the "Credit Line Account") issued through First-Citizens Bank & Trust Company . In this Agreement, the words "Borrower," "you," "your," and "Applicant" mean each and every person who signs this Agreement, including all Borrowers named above. The words "we," "us," "our," and "Lender" mean First-Citizens Bank & Trust Company . You agree to the following terms and conditions:

Promise to Pay. You promise to pay First-Citizens Bank & Trust Company , or order, the total of all credit advances and FINANCE CHARGES, together with all costs and expenses for which you are responsible under this Agreement or under the "Deed of Trust" which secures your Credit Line. You will pay your Credit Line according to the payment terms set forth below. If there is more than one Borrower, each is jointly and severally liable on this Agreement. This means we can require any Borrower to pay all amounts due under this Agreement, including credit advances made to any Borrower. Each Borrower authorizes any other Borrower, on his or her signature alone, to cancel the Credit Line, to request and receive credit advances, and to do all other things necessary to carry out the terms of this Agreement. We can release any Borrower from responsibility under this Agreement, and the others will remain responsible.

Term. The term of your Credit Line will begin as of the date of this Agreement ("Opening Date") and will continue until April 12, 2022 ("Maturity Date"). All indebtedness under this Agreement, if not already paid pursuant to the payment provisions below, will be due and payable upon maturity. The draw period of your Credit Line will begin on a date, after the Opening Date, when the Agreement is accepted by us in the State of North Carolina, following the expiration of the right to cancel, the perfection of the Deed of Trust, the receipt of all required certificates of noncancellation, and the meeting of all of our other conditions and will continue as follows: for a period of 15 years from the date of this Agreement. You may obtain credit advances during this period ("Draw Period"). You agree that we may renew or extend the period during which you may obtain credit advances or make payments. Notwithstanding the foregoing, in no event will the time during which you may obtain credit advances on the Credit Line exceed thirty (30) years.

Minimum Payment. Your "Regular Payment" will equal the amount of your accrued FINANCE CHARGES. You will make 180 of these payments. You will then be required to pay the entire balance owing in a single balloon payment. If you make only the minimum payments, you may not repay any of the principal balance by the end of this payment stream. Your payments will be due monthly. Your "Minimum Payment" will be the Regular Payment, plus any amount due and all other charges. An increase in the ANNUAL PERCENTAGE RATE may increase the amount of your Regular Payment. You agree to pay not less than the Minimum Payment on or before the due date indicated on your periodic billing statement.

Balloon Payment. Your Credit Line Account is payable in full upon maturity in a single balloon payment. You must pay the entire outstanding principal, interest and any other charges then due. Unless otherwise required by applicable law, we are under no obligation to refinance the balloon payment at that time. You may be required to make payments out of other assets you own or find a lender, which may be us, willing to lend you the money. If you refinance the balloon, you may have to pay some or all of the closing costs normally associated with a new credit line account, even if you obtain refinancing from us.

How Your Payments Are Applied. Unless otherwise agreed or required by applicable law, payments and other credits will be applied to (a) accrued but unpaid FINANCE CHARGES; (b) any accrued but unpaid credit insurance premiums; (c) late charges and other charges; and (d) unpaid principal, in that order.

Receipt of Payments. All payments must be made by a check, automatic account debit, electronic funds transfer, money order, or other instrument in U.S. dollars and must be received by us at the remittance address shown on your periodic billing statement. Payments received at that address prior to our cutoff time (which will not be earlier than 2:00 PM local time at the place of receipt) on any business day will be credited to your Credit Line as of the date received. If we receive payments at other locations, such payments will be credited promptly to your Credit Line, but crediting may be delayed for up to five (5) days after receipt.

Credit Limit. This Agreement covers a revolving line of credit for the principal amount of One Hundred Seventy-three Thousand Five Hundred & 00/100 Dollars (\$173,500.00), which will be your "Credit Limit" under this Agreement. During the Draw Period we will honor your request for credit advances subject to the section below on Lender's Rights. You may borrow against the Credit Line, repay any portion of the amount borrowed, and re-borrow up to the amount of the Credit Limit. Your Credit Limit is the maximum amount you may have outstanding at any one time. You agree not to attempt, request, or obtain a credit advance that will make your Credit Line Account balance exceed your Credit Limit. Your Credit Limit will not be increased should you overdraw your Credit Line Account. If you exceed your Credit Limit, you agree to repay immediately the amount by which your Credit Line Account exceeds your Credit Limit, even if we have not yet billed you. Any credit advances in excess of your Credit Limit will not be secured by the Deed of Trust covering your principal dwelling.

Charges to your Credit Line. We may charge your Credit Line to pay other fees and costs that you are obligated to pay under this Agreement, the Deed of Trust or any other document related to your Credit Line. In addition, we may charge your Credit Line for funds required for continuing insurance coverage as described in the paragraph titled "Insurance" below or as described in the Deed of Trust for this transaction. We may also, at our option, charge your Credit Line to pay any costs or expenses to protect or perfect our security interest in your principal dwelling. These costs or expenses include, without limitation, payments to cure defaults under any existing liens on your principal dwelling. If you do not pay your property taxes, we may charge your Credit Line and pay the delinquent taxes. Any amount so charged to your Credit Line will be a credit advance and will decrease the funds available, if any, under the Credit Line. However, we have no obligation to provide any of the credit advances referred to in this paragraph.

Credit Advances. After the Effective Disbursement Date of this Agreement, you may obtain credit advances under your Credit Line as follows:

- Credit Line Checks. Writing a preprinted "Special Check" that we will supply to you.
- Requests in Person. Requesting a credit advance in person at any of our authorized locations.
- Credit Card Access. Using your "EquityLine Visa credit card" to receive cash advances or to make purchases.
- Overdrafts. Overdrawing any checking account that is "linked" to your Credit Line. If you elect to "link" your Credit Line Account to your checking account, your Credit Line will provide overdraft protection for that related checking account only. However, we will not issue credit cards, and you may not access your Credit Line Account using a credit card, if your Credit Line provides overdraft protection for a related checking account.

If there is more than one person authorized to use this Credit Line Account, you agree not to give us conflicting instructions, such as one Borrower telling us not to give advances to the other.

Limitations on the Use of Checks. We reserve the right not to honor Special Checks in the following circumstances:

- Credit Limit Violation. Your Credit Limit has been or would be exceeded by paying the Special Check.
- Post-dated Checks. Your Special Check is post-dated. If a post-dated Special Check is paid and as a result any other check is returned or not paid, we are not responsible.
- Stolen Checks. Your Special Checks have been reported lost or stolen.
- Unauthorized Signatures. Your Special Check is not signed by an "Authorized Signer" as defined below.
- Termination or Suspension. Your Credit Line has been terminated or suspended as provided in this Agreement or could be if we paid the Special Check.
- Other Restriction. You are otherwise in default under, or in breach of, the terms of this Agreement.



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If we pay any Special Check under these conditions, you must repay us, subject to applicable laws, for the amount of the Special Check. The Special Check itself will be evidence of your debt to us together with this Agreement. Our liability, if any, for wrongful dishonor of a check is limited to your actual damages. Dishonor for any reason as provided in this Agreement is not wrongful dishonor. We may choose not to return Special Checks along with your periodic billing statements; however, your use of each Special Check will be reflected on your periodic statement as a credit advance. We do not "certify" Special Checks drawn on your Credit Line.

Limitations on the Use of Credit Cards. We reserve the right not to honor EquityLine Visa credit cards in the following circumstances:

Credit Limit Violation. Your Credit Limit has been or would be exceeded by paying the EquityLine Visa credit card charge.

Stolen Credit Cards. Your EquityLine Visa credit cards have been reported lost or stolen.

Unauthorized Signatures. Your EquityLine Visa credit card is not used by an "Authorized Signer" as defined below.

Termination or Suspension. Your Credit Line has been terminated or suspended as provided in this Agreement or could be if we paid the Credit Line charge.

Other Restriction.

A. You will not be able to access your Credit Line using a credit card unless we issue one or more EquityLine Visa credit cards to you for that purpose. We will not issue any credit cards for your Credit Line Account unless it is a "stand-alone" Equityline account. We will not issue credit cards, and you may not access your Credit Line Account using a credit card, if you elect to "link" your Credit Line to a related checking account.

B. We reserve the right not to honor credit card transactions that exceed the credit card transaction limitations described below.

C. We reserve the right not to issue or honor EquityLine Visa credit cards if you are otherwise in default under, or in breach of, the terms of this Agreement.

If we pay any advance requested by use of the EquityLine Visa credit card under these conditions, you must repay us, subject to applicable laws, for the amount of the advance. The advance itself will be evidence of your debt to us together with this Agreement. Our liability, if any, for wrongful dishonor of an advance is limited to your actual damages. Dishonor for any reason as provided in this Agreement is not wrongful dishonor. Your use of the EquityLine Visa credit card will be reflected on your periodic statement as a credit advance.

Transaction Requirements. The following transaction limitations will apply to the use of your Credit Line:

Credit Card Limitations. The following transaction limitations will apply to your Credit Line and using a Credit Card.

Other Transaction Requirements. The maximum dollar amount of credit advances and/or credit charges that you may obtain or incur per day using your EquityLine Visa credit cards is \$7,500.00. The maximum credit advance or credit card charge per EquityLine Visa credit card transaction is \$7,500.00. These limitations apply only to credit card transactions.

Credit Line Special Check, In Person Request and Overdrafts Limitations. There are no transaction limitations for the writing of Special Checks, requesting an advance in person or accessing by other methods.

Authorized Signers. The words "Authorized Signer" on Special Checks and EquityLine Visa credit cards as used in this Agreement mean and include each person who (a) signs the application for this Credit Line, (b) signs this Agreement, or (c) has executed a separate signature authorization card for the Credit Line Account.

Stop Payments. We do not honor stop payment orders for Special Checks drawn against your Credit Line Account. You therefore should not use your Credit Line Account if you anticipate the need to stop payment. You agree that we will have no liability to you or to any other party because we do not honor stop payment orders.

Lost Special Checks and EquityLine Visa credit cards. If you lose your Special Checks or EquityLine Visa credit cards or if someone is using them without your permission, you agree to let us know immediately. The fastest way to notify us is by calling us at (888) 323-4732. You also can notify us at (for Special Checks) First Citizens Bank Loan Servicing Department--DAC20, PO Box 26592, Raleigh, NC 27611-6592, or (for EquityLine Visa credit cards) First Citizens Bank, PO Box 49500, Roanoke, VA 24109-9500.

Liability For Unauthorized Use. You may be liable for the unauthorized use of your EquityLine Visa credit card access device which accesses your Credit Line. You will not be liable for unauthorized use that occurs after you notify us or our designee at 888-FC DIRECT (888-323-4732) or First Citizens Bank, PO Box 49500, Roanoke, VA 24109-9500, orally or in writing, of the loss, theft, or possible unauthorized use. In any case, your liability for unauthorized use of your EquityLine Visa credit card will not exceed \$50.00.

If you use an access card which debits a checking account (or other consumer asset account) but also draws on an overdraft line of credit, Regulation E provisions apply, as well as sections 226.13(d) and (g) of Regulation Z. In such a transaction, you might be liable for up to \$50.00 under Regulation Z. Also, you might be liable for \$50.00, \$500.00, or an unlimited amount under Regulation E, or a lesser amount under applicable state law. Please refer to your electronic fund transfers disclosure for liability limitations and error-resolution procedures for transactions covered by the federal Electronic Fund Transfers Act.

Future Credit Line Services. Your application for this Credit Line also serves as a request to receive any new services (such as access devices) which may be available at some future time as one of our services in connection with this Credit Line. You understand that this request is voluntary and that you may refuse any of these new services at the time they are offered. You further understand that the terms and conditions of this Agreement will govern any transactions made pursuant to any of these new services.

Collateral. You acknowledge this Agreement is secured by a security interest in a dwelling and, to the extent permitted by law, a right of setoff against your deposit accounts. The terms of each instrument which secures your obligations under this Agreement are incorporated herein by reference. Collateral securing other loans with us may also secure this Agreement.

Insurance. You must obtain insurance on the Property securing this Agreement that is reasonably satisfactory to us. You may obtain property insurance through any company of your choice that is reasonably satisfactory to us. You have the option of providing any insurance required under this Agreement through an existing policy or a policy independently obtained and paid for by you, subject to our right, for reasonable cause before credit is extended, to decline any insurance provided by you. Subject to applicable law, if you fail to obtain or maintain insurance as required in the Deed of Trust, we may purchase insurance to protect our own interest, add the premium to your balance, pursue any other remedies available to us, or do any one or more of these things.

Right of Setoff. To the extent permitted by applicable law, we reserve a right of setoff in all your accounts with us (whether checking, savings, or some other account), including without limitation, all accounts you may open in the future. However, this does not include any IRA or Keogh accounts, or any trust accounts for which setoff would be prohibited by law. You authorize us, to the extent permitted by applicable law, to charge or setoff all sums owing on this Agreement against any and all such accounts, and, at our option, to administratively freeze all such accounts to allow us to protect our charge and setoff rights provided in this paragraph.

Periodic Statements. If you have a balance owing on your Credit Line Account or have any account activity, we will send you a periodic statement. It will show, among other things, credit advances, **FINANCE CHARGES**, other charges, payments made, other credits, your "Previous Balance," and your "New Balance." Your statement also will identify the Minimum Payment you must make for that billing period and the date it is due.

When FINANCE CHARGES Begin to Accrue. Periodic **FINANCE CHARGES** for credit advances under your Credit Line will begin to accrue on the date credit advances are posted to your Credit Line. There is no "free ride period" which would allow you to avoid a **FINANCE CHARGE** on your Credit Line credit advances.

Method Used to Determine the Balance on Which the FINANCE CHARGE Will Be Computed. A daily **FINANCE CHARGE** will be imposed on all credit advances made under your Credit Line imposed from the date of each credit advance based on the "average daily balance method." To determine your average daily balance for each billing cycle, we first determine the daily balance of your Credit Line Account each day by adding any new credit advances and charges against your Credit Line Account to the previous day's balance and by subtracting any new payments or credits from the previous day's balance. Then, we add up all the daily balances for each day during the billing cycle and divide the total by the number of days in the billing cycle. This gives us the "average daily balance." We then multiply the average daily balance by the number of days in the billing cycle before we multiply by the "Periodic Rate" to determine your **FINANCE CHARGE** as described below.

Method of Determining the Amount of FINANCE CHARGE. Any **FINANCE CHARGE** is determined by applying the "Periodic Rate" to the balance



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described herein. This is your **FINANCE CHARGE** calculated by applying a Periodic Rate.

Periodic Rate and Corresponding ANNUAL PERCENTAGE RATE. We will determine the Periodic Rate and the corresponding **ANNUAL PERCENTAGE RATE** as follows. We start with an independent index which is the highest Prime Rate as published in the Money Rates table of The Wall Street Journal on the last business day of the calendar month (the "Index"). We will use the most recent Index value available to us as of the last business day of the calendar month preceding the effective date of any **ANNUAL PERCENTAGE RATE** adjustment. The Index is not necessarily the lowest rate charged by us on our loans. If the Index becomes unavailable during the term of this Credit Line Account, we may designate a substitute index after notice to you. To determine the Periodic Rate that will apply to your account, we subtract a margin from the value of the Index, then divide the value by the number of days in a year (daily). To obtain the **ANNUAL PERCENTAGE RATE** we multiply the Periodic Rate by the number of days in a year (daily). This result is the **ANNUAL PERCENTAGE RATE**. The **ANNUAL PERCENTAGE RATE** includes only interest and no other costs.

The Periodic Rate and the corresponding **ANNUAL PERCENTAGE RATE** on your Credit Line will increase or decrease as the Index increases or decreases from time to time. Adjustments to the Periodic Rate and the corresponding **ANNUAL PERCENTAGE RATE** resulting from changes in the Index will take effect on the first day of each billing cycle based on the Index as published on the last business day of the preceding calendar month. Each billing cycle is approximately one month long. **FINANCE CHARGES**, credit insurance premiums and other charges and fees you owe are added to your balance on the last day of each billing cycle before your payment is calculated. Your "outstanding balance" therefore includes accrued **FINANCE CHARGES**, credit insurance premiums, and other charges and fees you owe under this Agreement. In calculating your Minimum Payment, we may determine that your Regular Payment is less than the sum of your accrued **FINANCE CHARGES** and credit insurance premiums. If this occurs, you agree that we may increase the amount of your Regular Payment to cover all accrued **FINANCE CHARGES** and credit insurance premiums. In no event will the corresponding **ANNUAL PERCENTAGE RATE** be more than the lesser of 18.000% or the maximum rate allowed by applicable law. Today the Index is 8.250% per annum, and therefore the initial Periodic Rate and the corresponding **ANNUAL PERCENTAGE RATE** on your Credit Line are as stated below:

Current Rates for the First Payment Stream			
Range of Balance or Conditions	Margin Added to Index	ANNUAL PERCENTAGE RATE	Daily Periodic Rate
All Balances	-1.500%	6.750%	0.01849%

Notwithstanding any other provision of this Agreement, we will not charge interest on any undisbursed loan proceeds, except as may be permitted during any Right of Rescission period.

Forgo Rate Increases. If we forgo an **ANNUAL PERCENTAGE RATE** increase, at the time of a later adjustment we may return to the full Index value plus margin.

Conditions Under Which Other Charges May Be Imposed. You agree to pay all the other fees and charges related to your Credit Line as set forth below:

Returned Items. You may be charged \$25.00 if you pay your Credit Line obligations with a check, draft, or other item that is dishonored for any reason, unless applicable law requires a lower charge or prohibits any charge.

Late Charge. Your payment will be late if it is not received by us on or before the payment due date shown on your periodic statement. If your payment is past due for 30 days or more, we may charge you a late charge of 4.00% of the unpaid portion of the payment past due.

Security Interest Charges. You agree to pay all security interest charges related to your Credit Line as set forth below:

Flood Certification Fee (Paid by Bank)	\$12.00
Attorney Fee (Paid by Bank)	\$75.00
Recording Fee (Paid by Bank)	\$47.00
Request for Notice Recording Fee (Paid by Bank)	\$14.00
Title Insurance (Paid by Bank)	\$493.31
Total	\$641.31

Lender's Rights. Under this Agreement, we have the following rights:

Termination and Acceleration. We can terminate your Credit Line Account and require you to pay us the entire outstanding balance in one payment, and charge you certain fees, if any of the following happen: (1) You commit fraud or make a material misrepresentation at any time in connection with this Credit Agreement. This can include, for example, a false statement about your income, assets, liabilities, or any other aspects of your financial condition. (2) You do not meet the repayment terms of this Credit Agreement. (3) Your action or inaction adversely affects the collateral for the plan or our rights in the collateral. This can include, for example, failure to maintain required insurance, waste or destructive use of the dwelling, failure to pay taxes, death of all persons liable on the account, transfer of title or sale of the dwelling, creation of a senior lien on the dwelling without our permission, foreclosure by the holder of another lien, or the use of funds or the dwelling for prohibited purposes.

Suspension or Reduction. In addition to any other rights we may have, we can suspend additional extensions of credit or reduce your Credit Limit during any period in which any of the following are in effect:

(1) The value of your property declines significantly below the property's appraised value for purposes of this Credit Line Account. This includes, for example, a decline such that the initial difference between the Credit Limit and the available equity is reduced by fifty percent and may include a smaller decline depending on the individual circumstances.

(2) We reasonably believe that you will be unable to fulfill your payment obligations under your Credit Line Account due to a material change in your financial circumstances.

(3) You are in default under any material obligations of this Credit Line Account. We consider all of your obligations to be material. Categories of material obligations include the events described above under Termination and Acceleration, obligations to pay fees and charges, obligations and limitations on the receipt of credit advances, obligations concerning maintenance or use of the property or proceeds, obligations to pay and perform the terms of any other deed of trust, mortgage or lease of the property, obligations to notify us and to provide documents or information to us (such as updated financial information), obligations to comply with applicable laws (such as zoning restrictions), and obligations of any comaker. No default will occur until we mail or deliver a notice of default to you, so you can restore your right to credit advances.

(4) We are precluded by government action from imposing the **ANNUAL PERCENTAGE RATE** provided for under this Agreement.

(5) The priority of our security interest is adversely affected by government action to the extent that the value of the security interest is less than one hundred twenty percent (120%) of the Credit Limit.

(6) We have been notified by governmental authority that continued advances may constitute an unsafe and unsound business practice.

Change in Terms. We may make changes to the terms of this Agreement if you agree to the change in writing at that time, if the change will unequivocally benefit you throughout the remainder of your Credit Line Account, or if the change is insignificant (such as changes relating to our data processing systems). If the Index is no longer available, we will choose a new Index and margin. The new Index will have an historical movement substantially similar to the original Index, and the new Index and margin will result in an **ANNUAL PERCENTAGE RATE** that is substantially similar to the rate in effect at the time the original index becomes unavailable. We may prohibit additional extensions of credit or reduce your Credit Limit during any period in which the maximum **ANNUAL PERCENTAGE RATE** under your Credit Line Account is reached.

Collection Costs. We may hire or pay someone else to help collect this Agreement if you do not pay. You will pay us that amount. This includes, subject to any limits under applicable law, our attorneys' fees and our legal expenses, whether or not there is a lawsuit, including attorneys' fees, expenses for bankruptcy proceedings (including efforts to modify or vacate any automatic stay or injunction), and appeals. If not prohibited by applicable law, you also will pay any court costs, in addition to all other sums provided by law.



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Access Devices. If your Credit Line is suspended or terminated, you must immediately return to us all Special Checks and any other access devices. Any use of Special Checks or other access devices following suspension or termination may be considered fraudulent. You will also remain liable for any further use of Special Checks or other Credit Line access devices not returned to us.

Delay in Enforcement. We may delay or waive the enforcement of any of our rights under this Agreement without losing that right or any other right. If we delay or waive any of our rights, we may enforce that right at any time in the future without advance notice. For example, not terminating your account for non-payment will not be a waiver of our right to terminate your account in the future if you have not paid.

Cancellation by you. If you cancel your right to credit advances under this Agreement, you must notify us and return all Special Checks and any other access devices to us. Despite cancellation, your obligations under this Agreement will remain in full force and effect until you have paid us all amounts due under this Agreement.

Prepayment. You may prepay all or any amount owing under this Credit Line at any time without penalty, except we will be entitled to receive all accrued FINANCE CHARGES, and other charges, if any. Payments in excess of your Minimum Payment will not relieve you of your obligation to continue to make your Minimum Payments. Instead, they will reduce the principal balance owed on the Credit Line. You agree not to send us payments marked "paid in full", "without recourse", or similar language. If you send such a payment, we may accept it without losing any of our rights under this Agreement, and you will remain obligated to pay any further amount owed to us. All written communications concerning disputed amounts, including any check or other payment instrument that indicates that the payment constitutes "payment in full" of the amount owed or that is tendered with other conditions or limitations or as full satisfaction of a disputed amount must be mailed or delivered to: First Citizens Bank, Loan Servicing Department-DAC20, PO Box 26592 Raleigh, NC 27611-6592.

Notices. All notices will be sent to your address as shown in this Agreement. Notices will be mailed to you at a different address if you give us written notice of a different address. You agree to advise us promptly if you change your mailing address.

Credit Information and Related Matters. You authorize us to release information about you to third parties as described in our privacy policy and our Fair Credit Reporting Act notice, provided you did not opt out of the applicable policy, or as permitted by law. You agree that, upon our request, you will provide us with a current financial statement, a new credit application, or both, on forms provided by us. You also agree we may obtain credit reports on you at any time, at our sole option and expense, for any reason, including but not limited to determining whether there has been an adverse change in your financial condition. We may require a new appraisal of the Property which secures your Credit Line at any time, including an internal inspection, at our sole option and expense.

Transfer or Assignment. Without prior notice or approval from you, we reserve the right to sell or transfer your Credit Line Account and our rights and obligations under this Agreement to another lender, entity, or person, and to assign our rights under the Deed of Trust. Your rights under this Agreement belong to you only and may not be transferred or assigned. Your obligations, however, are binding on your heirs and legal representatives. Upon any such sale or transfer, we will have no further obligation to provide you with credit advances or to perform any other obligation under this Agreement.

Tax Consequences. You understand that neither we, nor any of our employees or agents, make any representation or warranty whatsoever concerning the tax consequences of your establishing and using your Credit Line, including the deductibility of interest, and that neither we nor our employees or agents will be liable in the event interest on your Credit Line is not deductible. You should consult your own tax advisor for guidance on this subject.

Suspension or Reduction by You. You (or any one or more of you if there is more than one Borrower) may request at any time that we (i) suspend additional extensions of credit and/or (ii) reduce your Credit Limit, and we may rely and act upon any such request. Despite any suspension of credit advances and/or reduction in your Credit Limit, your obligations under this Agreement will remain in full force and effect until you have paid us all amounts due under this Agreement. We may require that all persons obligated under this Agreement request reinstatement in writing. We will not be required to reinstate your Credit Line if other circumstances justifying a suspension or credit limit reduction exist at that time.

Additional Provisions Relating to Credit Cards. This section applies if you are eligible for, and have been issued, an EquityLine Visa credit card. Each EquityLine Visa credit card must be signed by you or another authorized user to ensure proper use and you must follow any reasonable and proper procedures required by us or the merchant honoring the credit card. We are not responsible if a credit card transaction is not approved, either by us or by a third party, even if you have sufficient credit available. We may limit the number of transactions that may be approved in any one day with a credit card. If we detect unusual or suspicious activity on your Credit Line, we may for security reasons temporarily suspend your credit card privileges until we can verify the activity. We may refuse to issue or reissue a credit card or may revoke or limit credit card use with or without your knowledge or notice to you. The credit card at all times remains our property and may be repossessed by us at any time. Upon revocation of a credit card, the credit card must be surrendered upon demand. No expired or revoked or otherwise invalid credit cards shall be used to obtain, or attempt to obtain, credit. The credit card shall not be used for any illegal transactions, and we may revoke your credit card upon the occurrence of any event which gives us reason to believe that the credit card is or may be improperly used. We may charge your Credit Line for any transaction authorized by you or by any Authorized Signer. Authorization to use the credit card may be given orally (e.g., by telephone), in writing (e.g., by signing a sales slip or cash advance slip), or electronically (e.g., over the Internet). Authority will be deemed given if you or any Authorized Signers provide your credit card number to any third party who uses that information to initiate one or more charges against your Credit Line. We shall have no liability or responsibility if any merchant refuses to honor a credit card. No cash refunds will be made to or accepted by you with respect to any adjustments for goods or services purchased. Any adjustment in connection therewith shall be accompanied only by credit to your Credit Line, authorized by a properly executed credit slip. If you incur a charge in currency other than U.S. dollars, the charge will be converted by Visa International into a U.S. dollar amount. Visa International will use the procedures set forth in its Operating Regulations in effect at the time that the transaction is processed. Currently, Visa International regulations provide that the currency conversion rate to be used is either a government-mandated rate or a wholesale rate increased by an international reimbursement rate. The currency conversion rate in effect on the processing date may differ from the rate in effect on the transaction date or on the posting date. We will not exercise our right of offset if doing so would violate the provisions of 12 C.F.R. 226.12(d), which restricts us from collecting certain credit card obligations by offsetting against funds you have on deposit with us.

Governing Law. This Agreement will be governed by federal law applicable to us and, to the extent not preempted by federal law, the laws of the State of North Carolina without regard to its conflicts of law provisions. This Agreement has been accepted by us in the State of North Carolina.

Caption Headings. Caption headings in this Agreement are for convenience purposes only and are not to be used to interpret or define the provisions of this Agreement.

Interpretation. You agree that this Agreement, together with the Deed of Trust, is the best evidence of your agreements with us. If we go to court for any reason, we can use a copy, filmed or electronic, of any periodic statement, this Agreement, the Deed of Trust or any other document to prove what you owe us or that a transaction has taken place. The copy, microfilm, microfiche, or optical image will have the same validity as the original. You agree that, except to the extent you can show there is a billing error, your most current periodic statement is the best evidence of your obligation to pay.

Severability. If a court finds that any provision of this Agreement is not valid or should not be enforced, that fact by itself will not mean that the rest of this Agreement will not be valid or enforced. Therefore, a court will enforce the rest of the provisions of this Agreement even if a provision of this Agreement may be found to be invalid or unenforceable.

Acknowledgment. You understand and agree to the terms and conditions in this Agreement. By signing this Agreement, you acknowledge that you have read this Agreement. You also acknowledge receipt of a completed copy of this Agreement, including the Fair Credit Billing Notice and the early home equity line of credit application disclosure, in addition to the handbook entitled "What you should know about Home Equity Lines of Credit," given with the application.

BORROWER:

X COPY
Rickard Edward Faith

X COPY
Melissa R Clepper Faith



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Loan No: 0868083613

EQUITYLINE AGREEMENT
(Continued)

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ACCEPTED: FIRST-CITIZENS BANK & TRUST COMPANY

By: COPY
Authorized Signer

Effective Disbursement Date: _____



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Loan No: 0868083613

EQUITYLINE AGREEMENT
(Continued)

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BILLING ERROR RIGHTS

YOUR BILLING RIGHTS

KEEP THIS NOTICE FOR FUTURE USE

This notice contains important information about your rights and our responsibilities under the Fair Credit Billing Act.

Notify us in case of errors or questions about your bill.

If you think your bill is wrong, or if you need more information about a transaction on your bill, write us on a separate sheet at

First Citizens Bank
Loan Servicing Department-DAC20
PO Box 26592
Raleigh, NC 27611-6592

or at the address listed on your bill. Write to us as soon as possible. We must hear from you no later than sixty (60) days after we sent you the first bill on which the error or problem appeared. You can telephone us, but doing so will not preserve your rights.

In your letter, give us the following information:

Your name and account number.

The dollar amount of the suspected error.

Describe the error and explain, if you can, why you believe there is an error. If you need more information, describe the item you are not sure about.

If you have authorized us to pay your bill automatically from your savings or checking account, you can stop the payment on any amount you think is wrong. To stop the payment, your letter must reach us three (3) business days before the automatic payment is scheduled to occur.

Your rights and our responsibilities after we receive your written notice.

We must acknowledge your letter within thirty (30) days, unless we have corrected the error by then. Within ninety (90) days, we must either correct the error or explain why we believe the bill was correct.

After we receive your letter, we cannot try to collect any amount you question, or report you as delinquent. We can continue to bill you for the amount you question, including finance charges, and we can apply any unpaid amount against your Credit Limit. You do not have to pay any questioned amount while we are investigating, but you are still obligated to pay the parts of your bill that are not in question.

If we find that we made a mistake on your bill, you will not have to pay any finance charges related to any questioned amount. If we didn't make a mistake, you may have to pay finance charges, and you will have to make up any missed payments on the questioned amount. In either case, we will send you a statement of the amount you owe and the date on which it is due.

If you fail to pay the amount that we think you owe, we may report you as delinquent. However, if our explanation does not satisfy you and you write to us within ten (10) days telling us that you still refuse to pay, we must tell anyone we report you to that you have a question about your bill. And, we must tell you the name of anyone we reported you to. We must tell anyone we report you to that the matter has been settled between us when it finally is.

If we don't follow these rules, we can't collect the first \$50 of the questioned amount, even if your bill was correct.

Special Rule for Credit Card Purchases

If you have a problem with the quality of property or services that you purchased with a credit card, and you have tried in good faith to correct the problem with the merchant, you may have the right not to pay the remaining amount due on the property or services. There are two limitations on this right:

(a) You must have made the purchase in your home state or, if not within your home state within 100 miles of your current mailing address; and

(b) The purchase price must have been more than \$50.00.

These limitations do not apply if we own or operate the merchant, or if we mailed you the advertisement of the property or services.